



CIC INSURANCE GROUP

UNAUDITED GROUP RESULTS FOR THE SIX MONTHS ENDED 30 JUNE 2012

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The Directors of CIC Insurance Group Limited are pleased to announce the unaudited group results for the six months ended 30 June 2012

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME FOR THE PERIOD ENDED 30 JUNE 2012

	30.06.12 KSH'000	30.06.11 KSH'000
INCOME		
Gross written premiums	4,030,962	3,182,367
Net earned premiums	3,412,858	2,592,052
Investment and other income	471,388	269,797
Total Income	3,884,246	2,861,849
OUTGO		
Net Claims and Policyholders benefits	2,124,464	1,317,244
Operating and other expenses	1,177,743	978,856
Total Outgo	3,302,207	2,293,100
Profit before tax and exceptional items	582,039	568,749
Exceptional items	(112,000)	-
Profit before tax	470,039	568,749
Income tax expense	(54,943)	(99,430)
Profit after tax	415,096	469,319
OTHER COMPREHENSIVE INCOME		
Fair value loss on available for sale investments	(1,331)	(1,280)
Total comprehensive income	413,765	468,039
Earnings per share	0.19	0.29

CONSOLIDATED STATEMENT OF FINANCIAL POSITION AS AT 30 JUNE 2012

	30.06.12 KSH'000	30.06.11 KSH'000
SHAREHOLDERS FUNDS		
Share capital	2,179,655	1,591,270
Share premium	598,102	50,796
Other reserves	1,009,928	603,091
Retained earnings	724,475	907,047
TOTAL SHAREHOLDERS FUNDS	4,512,160	3,152,204
ASSETS		
Property & Equipment	403,733	314,457
Investment in Properties	1,466,790	973,739
Other Receivables	3,460,509	2,334,770
Other investments	6,198,298	4,189,811
Other loans	454,424	361,865
Cash & Bank balances	3,782	122,884
TOTAL ASSETS	11,987,536	8,297,526
LIABILITIES		
Insurance liabilities	6,793,404	4,607,021
Other payables	681,972	538,301
TOTAL LIABILITIES	7,475,376	5,145,322
NET ASSETS	4,512,160	3,152,204

STATEMENT OF CASHFLOWS FOR THE PERIOD ENDED 30 JUNE 2012

	30.06.12 KSH'000	30.06.11 KSH'000
CASHFLOW FROM OPERATING ACTIVITIES		
Cash generated from operations	1,024,514	549,665
Taxation paid	(157,760)	(123,833)
Net cash from operating activities	866,754	425,832
CASHFLOW FROM INVESTING ACTIVITIES		
Purchase of property and equipment	(51,491)	(35,772)
Purchase of investment property	(79,862)	(82,490)
Net investment in other investing activities	(71,710)	(57,368)
Net cash generated from investing activities	(203,063)	(175,630)
CASHFLOW FROM FINANCING ACTIVITIES		
Dividends paid	(196,185)	(93,557)
Net increase in cash and cash equivalents	467,506	156,645
CASH AND CASH EQUIVALENTS		
At 1 st January	2,148,979	1,341,841
At 30 th June	2,616,485	1,498,486

STATEMENT OF CHANGES IN EQUITY FOR THE PERIOD ENDED 30 JUNE 2012

	SHARE CAPITAL	SHARE PREMIUM	REVENUE RESERVE	OTHER RESERVES	TOTAL EQUITY
At 1 January 2012	2,179,655	598,102	795,566	721,237	4,294,560
Dividends paid	-	-	(196,185)	-	(196,185)
Profit for the period	-	-	125,074	290,022	415,096
Other comprehensive income	-	-	-	(1,331)	(1,331)
At 30 June 2012	2,179,655	598,102	724,475	1,009,928	4,512,160

The unaudited financial statements were approved by the Board of Directors on 6th August 2012.

FINANCIAL HIGHLIGHTS

- Gross Written Premiums increased by 27 % over 2011 to stand at Ksh 4.0 billion.
- Investment income grew by 75% to stand at Ksh 471million.
- Claims incurred grew by 61% to Ksh 2.1 billion.
- Operating expenses rose by 21% to Ksh 1.2 billion.
- Exceptional items relate to expenses incurred with respect to the demerger which was actualized in January 2012 and expenses towards listing the Group at the Nairobi Securities Exchange.
- Total assets increased by 44% to stand at Ksh 12.0 billion.
- Shareholders' funds increased by 43% from Ksh 3.1 billion to Ksh 4.5 billion.

OUTLOOK

The Board expects positive results in the second half of the year in view of the relatively stable macroeconomic environment and the fact that the exceptional costs in relation to demerger and listing were a one-off expenditure.

DIVIDENDS

The Directors do not recommend the payment of an interim dividend to shareholders.

By order of the Board

Gail Odongo
Company Secretary

**"Expeditious payment
of claims is ultimately
what matters in
insurance"**

**2012 Annual Insurance Awards
Winner: Claims Settlement Award**

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CIC INSURANCE GROUP LIMITED**UNAUDITED GROUP RESULTS FOR THE SIX MONTHS ENDED 30 JUNE 2012****CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME FOR THE PERIOD ENDED 30 JUNE 2012**

	TOTAL	TOTAL
	30.06.12	30.06.11
	KSH'000	KSH'000
INCOME		
Gross written premiums	4,030,962	3,182,367
	=====	=====
Gross earned premiums	3,760,643	2,864,710
Outward reinsurances	(347,785)	(272,658)
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Net earned premiums	3,412,858	2,592,052
Investment income	356,482	211,130
Commissions earned	99,073	56,282
Other income	15,833	2,385
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Total Income	3,884,246	2,861,849
OUTGO		
Net Claims and Policyholders benefits	2,124,464	1,317,244
Commissions payable	364,917	318,960
Operating and other expenses	812,826	656,896
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Total Outgo	3,302,207	2,293,100
Profit before tax and exceptional items	582,039	568,749
Exceptional items	112,000	-

Profit before tax	470,039	568,749
Income tax expense	54,943	99,430
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Profit after tax	415,096	469,319
OTHER COMPREHENSIVE INCOME		
Fair value loss on available for sale		
Financial assets, net of tax	(1,331)	(1,280)
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Total comprehensive income	413,765	468,039
Earnings per share	0.19	0.29

CONSOLIDATED STATEMENT OF FINANCIAL POSITION AS AT 30 JUNE 2012

	UNAUDITED	UNAUDITED
	30.06.12	30.06.11
	KSH'000	KSH'000
SHAREHOLDERS FUNDS		
Share capital	2,179,655	1,591,270
Share premium	598,102	50,796
Other reserves	1,009,928	546,066
Retained earnings	724,475	907,047
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TOTAL SHAREHOLDERS FUNDS	4,512,160	3,152,204
ASSETS		
Property & Equipment	345,224	270,335

Intangible assets	58,509	44,122
Investment in Associate	80,184	-
Investment properties	1,386,606	973,739
Receivables arising out of		
Direct insurance arrangements	941,635	618,276
Receivables arising out of		
Reinsurance arrangements	18,255	56,878
Reinsurers share of liabilities	1,496,531	1,027,035
Deferred acquisition costs	193,506	116,104
Taxation recoverable	36,688	-
Equity investments	170,645	233,986
Mortgage loans	265,071	151,487
Other loans	189,353	210,378
Deferred tax asset	7,076	5,492
Other Receivables	766,818	510,985
Deposits and Commercial Papers	212,144	173,211
Short –term investments	148,102	119,192
Government securities	2,368,250	1,493,278
Deposits in financial institutions	3,299,157	2,170,144
Cash & Bank balances	3,782	122,884
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TOTAL ASSETS	11,987,536	8,297,526
LIABILITIES		
Actuarial value of policyholders liabilities	1,273,183	1,023,266
Insurance contract liabilities	3,384,780	2,020,276
Unearned premiums	2,135,441	1,563,479
Payables arising out of reinsurance		

Arrangements	112,890	61,508
Tax payable	-	58,140
Other payables	569,082	418,653
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TOTAL LIABILITIES	7,475,376	5,145,322
NET ASSETS	4,512,160	3,152,204

STATEMENT OF CASHFLOWS FOR THE PERIOD ENDED 30 JUNE 2012

	30.06.12	30.6.11
CASHFLOW FROM OPERATING ACTIVITIES		
Cash generated from operations	1,024,514	549,665
Taxation paid	(157,760)	(123,833)
Net cash generated from operating activities	866,754	425,832
CASHFLOW FROM INVESTING ACTIVITIES		
Purchase of property and equipment	(51,491)	(35,772)
Purchase of investment properties	(79,862)	(82,490)
Other investments	(71,710)	(57,368)
Net cash used in investing activities	(203,063)	(175,630)
CASHFLOW FROM FINANCING ACTIVITIES		
Dividends paid	(196,165)	(93,557)
Net increase/(decrease) in cash and cash equivalents	467,506	156,645
CASH AND CASH EQUIVALENTS		
At 1 January	2,148,979	1,341,841
At 30 June	2,616,485	1,498,486

STATEMENT OF CHANGES IN EQUITY FOR THE PERIOD ENDED 30 JUNE 2012

	SHARE	SHARE	REVENUE	OTHER	TOTAL
	CAPITAL	PREMIUM	RESERVE	RESERVES	EQUITY
At 1 January 2012	2,179,655	598,102	795,566	721,237	4,294,560
Dividends paid	-	-	(196,165)	-	(196,165)
Profit for the period	-	-	125,074	290,022	415,096
Other comprehensive income	-	-	-	(1,331)	(1,331)
At 30 June 2012	2,179,655	598,102	724,475	1,009,928	4,512,160

The unaudited financial statements were approved by the Board of Directors on 6th August 2012.

FINANCIAL HIGHLIGHTS

- Gross Premiums Written increased by 27 % over 2011 to stand at Ksh 4.0 billion. This was mainly due to acquisition of new business
- Investment income grew by 69% to stand at Ksh 356million mainly due to the prevailing high interest rates.
- Claims incurred grew by 61% to Ksh 2.1 billion. The overall loss ratio is however within the industry average.
- Commission expenses grew by 14% to Ksh 365 million, in line with the premium growth.
- Management expenses rose by 23% to Ksh 813 million, largely driven by the high inflation environment.
- Exceptional items relates to expenses incurred with respect to the demerger which was actualized in January 2012 and expenses towards listing the group in the Nairobi Securities Exchange.
- Profit before tax decreased by 17% to Ksh 470 million mainly due to exceptional items amounting to Ksh 112,000.
- Shareholders' funds increased by 43% from Ksh 3.1billion to Ksh 4.5 billion.

OUTLOOK

The Board expects positive results in the second half in view of the relatively stable macroeconomic environment and the fact the exceptional costs in relation to demerger and listing will not recur.

DIVIDENDS

The directors do not recommend the payment of an interim dividend to shareholders.